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Digital Realty Trust Inc (DLR.N)

Takeaways from DLR Earnings Call and Management Call-Back

CITI'S TAKE

Digital Realty's 2Q results reflected strong underlying demand across its platform, supported by favorable supply-demand dynamics, broad-based leasing activity, and growing AI-related demand. Management highlighted healthy customer demand across both interconnection and larger hyperscale deployments, while continued pricing strength and a substantial backlog provide confidence in future growth. The expanding development pipeline and active development combined with ongoing strength in <1 MW+IC leasing is poised to support double-digit core FFOPS growth into 2027 and 2028 that reflects an upward revision in management's expectation of growth from the high-single digits previously. We remain positive on Buy-rated DLR shares and expect shares to trade higher near-term.

Buy	
Price (23 Jul 26 16:00)	US$179.34
Target price	US$226.00
Expected share price return	26.0%
Expected dividend yield	2.7%
Expected total return	28.7%
Market Cap	US$64,144M

Michael Rollins, CFA[AC]
+1-212-816-1116
michael.rollins@citi.com

Nick Joseph
+1-212-816-1909
nicholas.joseph@citi.com

Caitlyn Walsh
+1-212-816-6692
caitlyn.walsh@citi.com

Roberta Versiani
+1-212-816-5071
roberta.versiani@citi.com

We share our takeaways below:

Supply/Demand Imbalance Reflected in Strong Renewal Spreads: The strength in cash renewal spreads this quarter (25% overall and 67% in the >1MW segment) reflects the growing supply-demand imbalance across a number of markets. While spreads may not remain at the outsized levels seen this quarter (specifically 2Q benefitted from significant spreads in Singapore), Digital Realty continues to see an improving mark-to-market opportunity as expiring rates drop and market rates increase. Additionally, NIMBYism and other supply constraints could further exacerbate this imbalance, supporting favorable pricing in regions where DLR has installed capacity.

Continued Momentum in 0-1MW + Interconnection: Management noted that approximately 20% of the $108 million of bookings reported during the quarter were related to AI deployments. Quarterly bookings in this segment could stay near or above $100 million, in our view.

>1MW Strength - Leasing strength in the >1MW category in the quarter was lead by Americas, and management highlighted a record contribution from Sao Paulo. We remain encouraged by the diverse, broad-based demand within this segment. While the expanding ecosystem of AI-related customers is viewed as additive to its ecosystem, Digital remains focused on supporting more traditional IG hyperscalers for larger capacity blocks within its footprint. Management noted that over the past 10 quarters, the top signing was from six different top hyperscalers, reflecting the diversity of demand within this set of customers.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Strong Development Pipeline and Backlog Support Future Growth: DLR's development pipeline remains a key growth driver, with more than $20 billion of projects under development at an 11.5% expected ROI and approximately 63% of capacity pre-leased after including the bookings in early 3Q highlighted on the conference call ($410 million total and DLR share of $205 million). The pipeline includes roughly 1.4GW of leased development capacity (representing a ~45% expansion relative to DLR's existing operating footprint) and sits within a broader 9GW growth runway. Management also highlighted active customer discussions for nearly 1.5GW of additional capacity targeted for 2027–2028 deliveries, underscoring continued demand visibility. Management remains confident in its ability to deliver the required power capacity, particularly given the phased timing of capacity coming online. DLR noted that more than 80% of the active development is concentrated in the Americas, driven by strong demand from hyperscale cloud and AI workloads. DLR remains encouraged by the visibility/predictability of its backlog, which increased to a record $1.9B ($1.4B at DLR share) and represents 30% of in-place data center revenue at the end of June.

Core FFO Outlook – Digital Realty's upwardly revised Core FFO per share outlook represents double-digit growth over 2025, and management remains confident in the company's ability to extend this double-digit growth in 2027 and 2028. Digital Realty recognized $188 million of promote income during the quarter, representing Blackstone's share of the fees in the recent transaction. Notably, the promote was not included in 2026 guidance, and management expects 3Q reported core FFO excluding promote income to moderate slightly.

Implications - We also believe favorable <1 MW+IC results bodes favorably for upcoming EQIX 2Q26 results and remain a Buyer of EQIX.

Digital Realty Trust Inc

Valuation

Our $226 target price for Digital Realty is based on the simple average of a P/AFFOPS multiple, a cap-rate applied to our Cash NOI per share estimate, and our DCF valuation framework.

Our DCF analysis incorporates our revenue outlook for 2030 of $10.6 billion with an EBITDA margin of 44%. Using a WACC of 6.0%, we arrive at an operating EV of $94 billion. From this, we subtract year-end 2026E net debt and preferred equity of $19 billion and adjust for minority holdings to derive an equity value of $82 billion, or $229 per fully diluted share.

On a Cash NOI per share basis, we apply a 4.0% cap rate to our 2026 Cash NOI per share estimate of $10.66 per share and adjust our estimate for net debt, preferred equity, and options and warrants to arrive at an equity value of $224 per share. We estimate a 3-year Cash NOI CAGR between 27-30E of 11.2%.

On an AFFO basis, we believe Digital Realty should trade at 28x our 2026 estimate of $7.99 per share. This method yields a value of $224 per share.

Risks

Risks to Digital Realty's target price being achieved include: 1) while Digital's large portfolio of assets provides plenty of opportunities to improve and optimize revenue yield and return on capital, we also recognize the risk that the large portfolio will dull the impact of small improvements for equity holders; 2) Digital's existing data center portfolio is older than many of its competitors', which could lead to higher maintenance capital intensity over time or less flexible power resiliency configurations that could hurt Digital's ability to win customers over time; 3) Digital has a higher percentage of lower-yielding power-based-building assets in its portfolio, which could drag down returns over time; 4) Digital is exposed to foreign currencies as it has a significant presence in Europe and Asia, and unfavorable currency movements could impact reported financial performance; and 5) rising rates create a risk for a higher cost of capital and potential dilution to future FFOPS and AFFOPS that could put pressure on DLR shares.

Risks to Digital Realty and the category more broadly clearly relate to the supply and demand dynamics that govern pricing for the industry. The challenge is that industry demand for bits is difficult to quantify into bookings, and the supply-demand dynamics sit at the micro-market level, whereas we are looking at performance on a national or global level. The balance between supply and demand could also be impacted by changes in technology that can create sudden shifts in either supply, demand, or both. Most of these concerns are expressed as longer-term risks for the data center stocks that result in stranded capital either temporarily or permanently. We generally believe that it is hard to find a technology change that becomes an absolute positive or absolute negative for the nature of communications infrastructure-based business models like towers and data centers, and we believe each development needs to be generally considered in the context of the growth prospects for the secular demand underlying those services. Economic weakness/strength could cause revenue and cash flow to fall below/above our expectations.

The potential for faster deployment of capital into its Hyperscale Investment Fund, higher development yields from its retail-centric assets, and stronger sales and pricing from the limited supply hyperscale portfolio could provide opportunities for higher estimates and/or multiples that could result in a higher share price relative to our target price.

Equinix Inc.

(EQIX.O; US$1033.55; 1; 23 Jul 26; 16:00)

Valuation

Our $1,260 target price for Equinix is based on the average of the following methodologies:

Our DCF analysis is based on revenues that scale to $14.0 billion by 2030 and an EBITDA margin expanding to 56%. Based on these assumptions, including a WACC of 6.1%, a target debt-to-total capital ratio of 40%, and a consolidated terminal growth rate of 3.0%, we arrive at an operating enterprise value estimate of roughly $145 billion at year-end 2026. This is adjusted for net debt and other adjustments for investments and NOLs to arrive at an equity value of around $135 billion or $1,337 per fully diluted share.

On an EBITDA basis, we apply a 26.0x EV/EBITDA multiple on our 2026 EBITDA per share estimate of $52.08. Our multiple reflects an estimated 3-year EBITDA CAGR of 11.1% between 2026-2029, yielding a fair value of around $1,231 per share.

On an AFFO basis, we apply a 28.0x P/AFFO multiple on our 2026 AFFO estimate of $43.24 per share. Our multiple reflects an estimated 3-year AFFO CAGR of 10.1% between 2026-2029, yielding a fair value of around $1,211 per share.

Risks

Key risks to the achievement of our target price include:1) valuation elevated vs. historical levels; 2) interconnection consolidation; 3) acquisition integrations; 4) wholesale/retail lines blurring; and 5) rising rates. Other risks include the company's heavy investment in new projects. It is likely to still experience share price volatility and has some financial leverage.

Investment risks include: 1) product category growth is difficult to estimate; 2) pricing and demand for Equinix's colocation space and interconnection services may not increase as we have anticipated and forecast; 3) incremental revenue is heavily skewed to the success of selected markets; 4) capital spending could pick up with a reinvestment cycle; 5) rising interest rates could be a headwind on the multiple and valuation; and 6) our discretionary free cash flow or AFFO metrics may overstate the long-term free cash flow prospects for the company, depending on long-term capital intensity and growth initiatives. We also recognize the share price could decline to the extent REIT multiples fall and create a more challenging comparable to EQIX.

If the impact from these risks turns out to be greater or less than we anticipate, the shares could fail to achieve or rise above our target price.

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Appendix A-1

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IMPORTANT DISCLOSURES

Digital Realty Trust Inc (DLR)

Ratings and Target Price History
Fundamental Research

Analyst: Michael Rollins, CFA

#	Date	Rating	Target Price	Closing Price
1	28-Jul-23 07:05:44	1	*128.00	122.78
2	21-Aug-23 20:00:00	1	*136.00	120.96
3	07-Dec-23 16:12:42	1	*154.00	134.03
4	28-Feb-24 17:28:06	1	*160.00	142.73
5	18-Jul-24 21:58:41	1	*174.00	154.60
6	25-Oct-24 07:12:11	1	*188.00	181.01
7	30-Oct-24 16:30:00	1	*212.00	182.17
8	18-Mar-25 23:36:31	1	*188.00	148.66
9	16-Apr-25 17:30:00	1	*174.00	148.18
10	28-Jul-25 00:30:32	1	*200.00	175.72
11	28-Oct-25 12:35:12	1	*212.00	174.06
12	06-Feb-26 00:24:22	1	*190.00	171.62
13	24-Apr-26 06:42:36	1	*226.00	200.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Equinix Inc. (EQIX)

Ratings and Target Price History
Fundamental Research

Analyst: Michael Rollins, CFA

#	Date	Rating	Target Price	Closing Price
1	21-Nov-23 10:00:58	1	*895.00	788.32
2	26-Feb-24 18:08:42	1	*1,020.00	877.62
3	16-Apr-25 17:30:00	1	*970.00	778.68
4	02-May-25 11:26:46	1	*990.00	875.85
5	27-Jun-25 05:47:05	1	*950.00	785.11
6	12-Feb-26 03:38:47	1	*1,070.00	957.87
7	15-Apr-26 06:53:55	1	*1,200.00	1,052.98
8	30-Apr-26 04:03:50	1	*1,240.00	1,082.83
9	29-Jun-26 00:36:17	1	*1,260.00	1,085.17

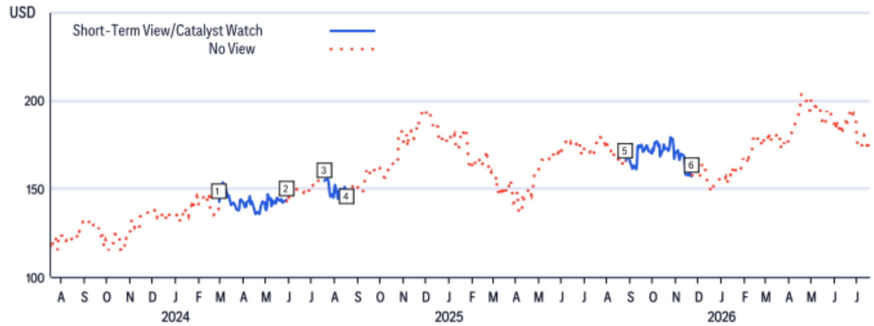
*Indicates Change

Rating/target price changes above reflect Eastern Time

Digital Realty Trust Inc (DLR)

Short-Term View/Catalyst Watch Research

Analyst: Michael Rollins, CFA



Date	Action	Expected Direction	Duration	Closing Price
1 28-Feb-24 12:28:06	Add CW	Upside	90 Days	142.73
2 28-May-24 12:00:41	Remove CW	Upside	90 Days	143.77
3 18-Jul-24 17:58:41	Add STV	Upside	30 Days	154.60
4 16-Aug-24 14:13:45	Remove STV	Upside	30 Days	149.60
5 25-Aug-25 12:30:00	Add STV	Upside	90 Days	165.86
6 21-Nov-25 12:15:55	Remove STV	Upside	90 Days	157.18

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Equinix Inc. (EQIX)

Short-Term View/Catalyst Watch Research

Analyst: Michael Rollins, CFA

Date	Action	Expected Direction	Duration	Closing Price
1 11-Dec-25 01:39:09	Add CW	Upside	90 Days	754.13
2 11-Mar-26 12:16:27	Remove CW	Upside	90 Days	973.43

CW - Catalyst Watch , STV - Short-Term View

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Jul 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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